RESOLUTION NO. 7308

Budget Committee Approval of the 2026-27 Budget and the Imposition of Property Taxes

RECITALS

A. Oregon Local Budget Law, Oregon Revised Statute (ORS) 294.426, requires the Budget Committee of Portland Public Schools (District) to hold one or more meetings to receive the budget message and the budget document and to provide members of the public with an opportunity to ask questions about and comment upon the budget document.

B. On April 28, 2026, the Board of Education (Board), acting as the Budget Committee, received the Superintendent's budget message and Proposed Budget document for the 2026-27 fiscal year.

C. ORS 294.431, requires submission of the budget document to the Tax Supervising Conservation Commission (TSCC) by May 15 of each year. ORS 294.431 allows taxing jurisdictions to request an extension of the submission date.

D. The District requested, and the TSCC authorized, extending the submission date to no later than May 28, 2026.

E. The Board-appointed Community Budget Review Committee (CBRC) reviewed the Proposed Budget. The CBRC acts in an advisory capacity to the Board.

F. On May 12, 2026, the Budget Committee received a 2026-27 budget review and recommendations from the CBRC. The committee deferred submission of Local Option Levy reporting.

G. On May 13, 2026, the Budget Committee held a Budget Community Engagement meeting to discuss and receive public comment on the Proposed Budget.

H. ORS 294.428 requires that each legal jurisdiction's Budget Committee approve a budget and specify the *ad valorem* property tax amount or rate for all funds.

I. It is noted that $0.5038 per $1,000 of the assessed value of the Permanent Rate Tax Levy (commonly known as the "Gap Tax") and, based on an analysis presented to the Board, the entirety of the Local Option Tax Rate Levy are excluded from State School Fund calculations.

J. ORS 457.445(6)(d) provides the opportunity for a school district with a statutory rate limit on July 1, 2003, that is greater than $4.50 per $1,000 of assessed value to be excluded from the urban renewal division of tax calculations. To the extent that the rate limit was increased under section 11 (5)(d), Article XI, of the Oregon Constitution, property tax revenue from said increase is excluded from local revenues. The District will notify the county assessors of the rate to be excluded for the current fiscal year no later than July 15.

K. Portland Public Schools has a statutory rate limit that is in excess of the $4.50 limitation that includes an increase under section 11 (5)(d), Article XI, of the Oregon Constitution.

RESOLUTION

1. The Budget Committee approves the budget as summarized in Attachment "A".

2. The Budget Committee approves the budget for the 2026-27 fiscal year in the total amount of $2,768,590,878.

3. The Budget Committee resolves that the District imposes the taxes provided for in the approved budget:

a. At the rate of $5.2781 per $1,000 of assessed value for operations;
b. At the rate of $1.9900 per $1,000 of assessed value for local option tax for operations;
c. In the amount of $184,250,000 for exempt bonds

Taxes are hereby imposed and categorized for the tax year 2025-26 upon the assessed value of all taxable property in the District, as follows:

Type	Education Limitation	Excluded from Limitation
Permanent Rate Tax Levy	$5.2781/$1,000 of assessed valuation	
Local Option Rate tax Levy	$1.9900/$1,000 of assessed valuation	
Bonded Debt Levy		$184,250,000

4. The Budget Committee further resolves that $0.5038 per $1,000 of taxable assessed value is excluded from the division of tax calculations, as the Permanent Rate Tax Levy attributable to the increase provided in section 11 (5)(d), Article XI, of the Oregon Constitution (such increase is a result of the expiring Gap Tax Levy).

5. The Budget Committee directs submission of the 2026-27 Approved Budget to the TSCC by May 28, 2026, in accordance with ORS 294.431, under the extension as granted by the TSCC.

Attachment A

Portland Public Schools

Adjustments to the 2026-27 Proposed Budget

May 26, 2026

	Proposed Budget	Adjustment	Recommended Approved Budget
100 - General Funds			
Resources			
Beginning Fund Balance	41,000,000	-	41,000,000
Local Property and Other Taxes	358,223,285	-	358,223,285
Local Option Taxes	103,938,000	-	103,938,000
Other Local Sources	28,701,056	-	28,701,056
County and Intermediate Sources	9,791,000	-	9,791,000
State Sources	317,100,000	-	317,100,000
Federal Sources	415,000	-	415,000
Interfund Transfers	393,716	-	393,716
Other	2,550,000	-	2,550,000
Total	862,112,056	0	862,112,056
Requirements			
Instruction	458,887,971	-	458,887,971
Support Services	345,021,368	-	345,021,368
Enterprise and Community Svcs	2,391,114	-	2,391,114
Debt Service	1,000	-	1,000
Transfers of Funds	14,755,000	-	14,755,000
Contingency	41,055,603	-	41,055,603
Total	862,112,056	0	862,112,056
200 - Special Revenue Funds			
Resources			
Beginning Fund Balance	23,223,782	-	23,223,782
Property and Other Taxes	393,716	-	393,716
Other Revenue from Local Sources	21,405,562	-	21,405,562
Intermediate Sources	15,895,167	-	15,895,167
State Sources	100,299,777	-	100,299,777
Federal Sources	62,662,681	-	62,662,681
Interfund Transfers	55,000	-	55,000
All Other Resources	-	-	-
Total	223,935,685	0	223,935,685
Requirements			
Instruction	96,244,503	-	96,244,503
Support Services	85,490,922	-	85,490,922
Enterprise and Community Svcs	29,550,380	-	29,550,380
Facilities Acquisition and Construction	12,256,164	-	12,256,164
Transfer of Funds	393,716	-	393,716
Contingency	-	-	-
Unappropriated Ending Fund Balance	-	-	-
Total	223,935,685	0	223,935,685

300 - Debt Service Funds

Resources			
Beginning Fund Balance	3,000,000	-	3,000,000
Property and Other Taxes	174,944,669	-	174,944,669
Other Revenue from Local Sources	100,313,225	-	100,313,225
Interfund Transfers	618,253	-	618,253
Total	278,876,147	0	278,876,147
Requirements			
Debt Service	278,876,147	-	278,876,147
Contingency	-	-	-
Unappropriated Ending Fund Balance	-	-	-
Total	278,876,147	0	278,876,147

400 - Capital Projects Funds

Resources			
Beginning Fund Balance	1,349,309,883	-	1,349,309,883
Other Revenue from Local Sources	32,689,927	-	32,689,927
Intermediate Sources	-	-	-
State Sources	508,013	-	508,013
Bond Proceeds & Premiums	-	-	-
Interfund Transfers	-	-	-
All Other Resources	-	-	-
Total	1,382,507,823	0	1,382,507,823
Requirements			
Support Services	1,501,462	-	1,501,462
Enterprise and Community Svcs	-	-	-
Facilities Acquisition and Construction	1,380,387,643	-	1,380,387,643
Debt Service	-	-	-
Transfers of Funds	618,718	-	618,718
Total	1,382,507,823	0	1,382,507,823

600 - Internal Service Funds

Resources			
Beginning Fund Balance	2,300,000	-	2,300,000
Other Revenue from Local Sources	4,159,167	-	4,159,167
Transfers of Funds	14,700,000	-	14,700,000
Total	21,159,167	0	21,159,167
Requirements			
Support Services	21,159,167	-	21,159,167
Contingency	-	-	-
Total	21,159,167	0	21,159,167
All Funds Total	2,768,590,878	0	2,768,590,878